The African Continental Free Trade Area

A TRALAC GUIDE

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The AfCFTA and Africa's development agenda

The Agreement establishing the African Continental Free Trade Area (AfCFTA) was opened for signature and ratification at the 10th Extraordinary Summit of the AU Assembly on 21 March 2018 in Kigali, Rwanda. The AfCFTA Agreement entered into force on 30 May 2019. The AfCFTA is the continent's most ambitious integration initiative.

The main objectives of the AfCFTA are to:

- create a single continental market for goods and services, with free movement of business persons and investments
- expand intra-Africa trade across the regional economic communities and the continent in general
- enhance competitiveness and support economic transformation
- promote industrial development

Agenda 2063 is Africa's framework for structural transformation. It builds on and aims to facilitate the implementation of existing continental initiatives (AIDA, PIDA, BIAT and CAADP). The AfCFTA, a single African air transport market (SAATM), and the free movement of people are Agenda 2063 flagship projects. The AU has adopted legal instruments for the effective implementation of these flagship projects. Importantly, the UN Agenda 2030's 17 SDGs are incorporated in the 20 goals of Agenda 2063. By implementing Agenda 2063, Africa will contribute to achieving its global commitments under the SDGs.

Source: African Union (Agenda 2063)

Architecture of the AfCFTA

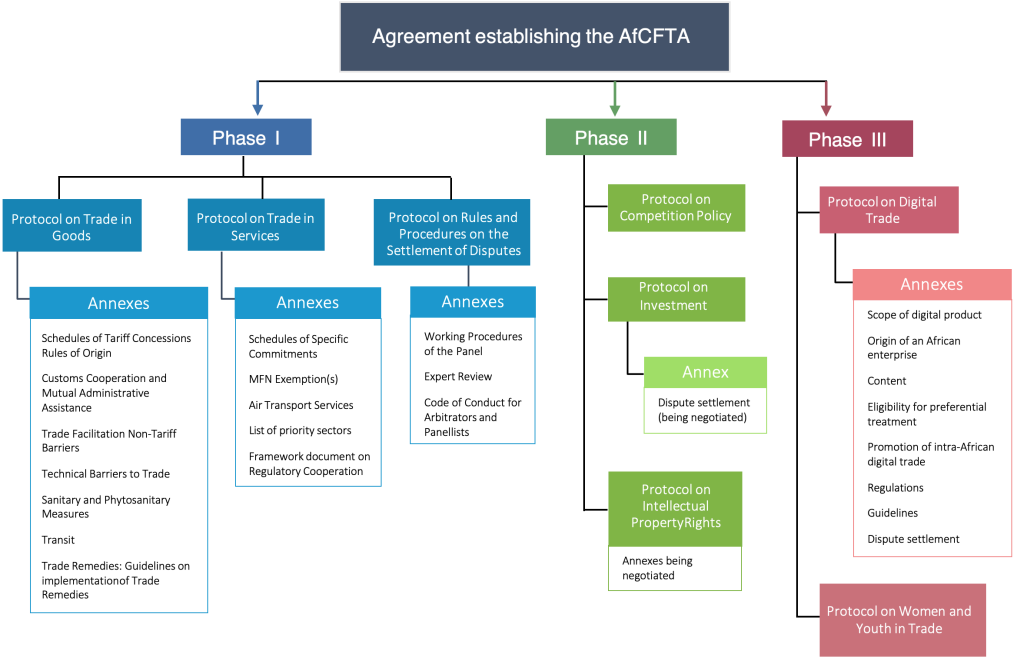
The AfCFTA Agreement is a comprehensive legal compact which includes the Agreement establishing the AfCFTA, Protocols on Trade in Goods, Trade in Services, Dispute Settlement, Investment, Intellectual Property Rights and Competition Policy. Digital Trade and Women and Youth have been added after the entry into force of the AFCFTA Agreement

Phase 1 negotiations cover Trade in Goods, Trade in Services and Dispute Settlement. The Protocols on Trade in Goods and Trade in Services each have several Annexes covering substantive disciplines.

Negotiations on tariff concessions, rules of origin for goods, schedules of specific commitments for services and related frameworks for regulatory cooperation are still ongoing.

Phase 2 negotiations cover Investment, Competition Policy and Intellectual Property Rights. The Annex on Dispute Settlement to the Investment Protocol and the Annexes to the Protocol on Intellectual Property Rights are still under negotiation.

Phase 3 negotiations cover Digital Trade, and Women and Youth in Trade.


Agreement establishing the AfCFTA
Phase I
Phase II
Phase III
Protocol on Trade in Goods
Protocol on Trade in Services
Protocol on Rules and Procedures on the Settlement of Disputes
Annexes
Schedules of Tariff Concessions
Rules of Origin
Customs Cooperation and Mutual Administrative Assistance
Trade Facilitation Non-Tariff Barriers
Technical Barriers to Trade
Sanitary and Phytosanitary Measures
Transit
Trade Remedies: Guidelines on implementationof Trade Remedies
Annexes
Schedules of Specific Commitments
MFN Exemption(s)
Air Transport Services
List of priority sectors
Framework document on Regulatory Cooperation
Annexes
Working Procedures of the Panel
Expert Review
Code of Conduct for Arbitrators and Panellists
Protocol on Competition Policy
Protocol on Investment
Annex
Dispute settlement (being negotiated)
Protocol on Intellectual PropertyRights
Annexes being negotiated
Protocol on Digital Trade
Annexes
Scope of digital product
Origin of an African enterprise
Content
Eligibility for preferential treatment
Promotion of intra-African digital trade
Regulations
Guidelines
Dispute settlement
Protocol on Women and Youth in Trade

Trade in Goods: Tariff Negotiations

The Protocol on Trade in Goods nominally entered into force with the AfCFTA Agreement in 2019, although negotiations on some rules of origin and schedules of tariff concessions are still ongoing. The AfCFTA will see the progressive liberalisation of 97% of intra-Africa tariffs, 7% of which are categorised as sensitive products and will be liberalised over a longer time frame. The remaining 3% of tariffs may be excluded from liberalisation for reasons relating to food security, national security, fiscal revenue, livelihood, and industrialisation.

Tariff Elimination Modalities	Coverage (%)		Transition Period	
	Tariff lines	Import Value	non-LDCs	LDCs
General	90	90	5 years	10 years
Sensitive products	7		10 years	13 years
Excluded products	3	10	No liberalization	No liberalization

Forty-eight State Parties have (as at May 2025) submitted offers of tariff concessions that have been verified by the AfCFTA Secretariat, as compliant with the negotiating modalities. These Provisional Schedules of Tariff Concessions are available in the e-Tariff Book.

e-Tariff Book

Rules of Origin

Rules of Origin (RoO) determine the economic nationality of a product and hence its eligibility for preferential tariff treatment in a free trade area.

The AfCFTA RoO include the 'wholly obtained' rule for agricultural and other primary products; change of tariff heading; and product-specific rules for other products. These have been adopted to encourage local value addition and transformation of inputs.

THE RULES OF ORIGIN IN THE AFCFTA

The AfCFTA agreement includes a number of technical Annexes and Appendixes.

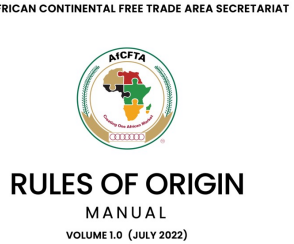
Annex I: AfCFTA tariff schedules
Annex II: AfCFTA Rules of Origin (main provisions)

- Appendix I: Certificate of Origin
- Appendix II: The prescribed text for purposes of origin (self) declaration
- Appendix III: Copy of the AfCFTA supplier declaration *(to cover regional inputs for cumulation purposes)*
- Appendix IV: The AfCFTA product-specific RoO criteria

Rules of Origin for some clothing and textiles (Chapters 60, 61 and 62) and automotive tariff lines (in Chapter 87) have not yet been agreed. For some clothing tariff lines, a double-transformation rule has been agreed for 5 years (when a review will take place).

An AfCFTA Rules of Origin Manual provides details of the finalised RoO.

It may be downloaded here: https://bit.ly/42OobZ6



Trade in Services

The Protocol on Trade in Services negotiations are taking place in successive rounds. For the first round of negotiations, which is ongoing, State Parties have agreed to schedule commitments in 5 priority sectors:

Negotiations are underway for the development of Regulatory Frameworks that will underpin the market access (MA) and national treatment (NT) conditions guaranteed in the Schedules of Specific Commitments. These frameworks should promote transparency and predictability by guiding the implementation of national laws, regulations and policies while respecting States Parties' right to introduce new regulations. Draft Regulatory frameworks for financial and communication services have been prioritised and were tabled at the 15th Committee on Trade in Services in March 2025. The Secretariat has developed Draft Regulatory Frameworks for Transport and Tourism Services.

The Assembly has adopted 24 Schedules of Specific Commitments for the 5 priority services sectors (financial, communication, transport, business services and tourism). This includes the schedules of Botswana and Comoros that were adopted by the AU Assembly in February 2024. Morocco's schedule was finalised and reviewed by the Committee on Trade in Services in March 2025 and is now ready for adoption. The Secretariat has begun development of guidelines for the negotiation of Mutual Recognition Agreements for professionals and service sector regulatory bodies.

Phase II and III Negotiations

The Protocols on Investment, Intellectual Property Rights (IPRs), and Competition Policy have been completed and adopted. Further negotiations are required to finalise the Annexes to the Investment and IPR Protocols. The legal and institutional framework to operationalise the Protocol on Competition Policy is expected to be finalised in 2025.

Dispute resolution under the Investment Protocol

The Protocol on Investment provides for a dispute resolution mechanism that investors will have access to. Article 47 of the Protocol provides that in the event that an investor of a State Party and the Host State are unable to resolve a dispute amicably, they may make use of the dispute resolution mechanism provided in the Annex (which is yet to be negotiated). While the Investment Protocol only applies to intra-Africa investment, international firms that already have an established commercial presence in a State Party will be able to make use of the Protocol's dispute settlement mechanism.

The Protocol on Digital Trade and the Protocol on Women and Youth in Trade were adopted by the Assembly in February 2024. The 8 Annexes of the Protocol on Digital Trade were adopted in February 2025. The Protocol on Digital Trade (which covers e-commerce) aims to support the Protocols on Trade in Goods and Trade in Services by promoting the sustainable and inclusive transformation of digital trade on the continent. The Protocol on Women and Youth is geared to addressing systemic gender-specific barriers to trade and unlocking the potential of the continent's youth.

Dispute Settlement

The AfCFTA has a **Protocol on Rules and Procedures on the Settlement of Disputes** which was adopted during Phase I of the AfCFTA negotiations and has been in force since 30 May 2019. The AfCFTA's dispute settlement system is modelled on the Dispute Settlement Mechanism of the WTO. It consists of panels and an appellate body. **Only AfCFTA State Parties have standing to file claims** under this Protocol, which can be heard and decided by Panels and the Appellate Body of the AfCFTA. Since violations of obligations regarding trade in goods and in services in most instances impact private firms, it is for the national governments of the relevant countries (if they are members of the WTO or the AfCFTA) to litigate against States adopting and implementing measures in violation of their obligations.

Legal remedies for private parties

While companies do not have direct access to the AfCFTA's State-State dispute settlement mechanism, they can lobby their host government to take up a dispute on their behalf or approach the domestic courts to address a complaint.

They can also benefit from the application of trade remedies. Private parties who have been affected by unfair trade practices, such as the dumping of goods or subsidised imports, can request national investigating authorities to undertake the required investigations and impose anti-dumping duties, countervailing measures, or safeguard measures. Annex 9 of the Protocol on Trade in Goods provides for Trade Remedies and Safeguards.

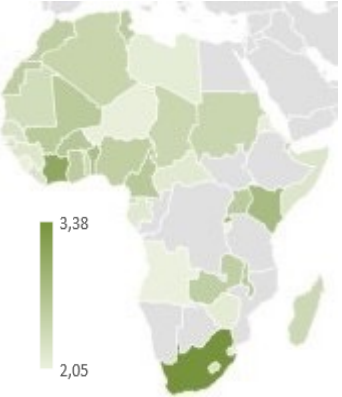
Trade facilitation

High transport costs, delays, port inefficiencies and cumbersome border procedures can have a more negative impact on the trade of goods than any tariffs.

Annex 4 of the AfCFTA Protocol on Trade in Goods sets out rules that seek to address specific procedural hurdles to facilitate trade procedures. This Annex presents a significant opportunity for State Parties to reap the economic benefits from improving the speed and efficiency of border procedures.

Logistics performance index

The World Bank **Logistics Performance Index (LPI)** is based on a survey of freight forwarders and express carriers. It ranks countries on customs, international shipments, quality and competence, tracking and tracing, timeliness and infrastructure. A higher score indicates higher performance, on a scale from 1-5. In 2023, South Africa, Egypt, Namibia, Rwanda, and Djibouti were among the best performers.



Source: World Bank

Institutions of the AfCFTA

The institutional framework for the implementation, administration, monitoring, and evaluation of the AfCFTA consists of the Assembly, the Council of Ministers, the Committee of Senior Trade Officials, and the Secretariat. (Art 9 AfCFTA Agreement.) Decisions by AfCFTA institutions are taken by consensus, unless otherwise provided.

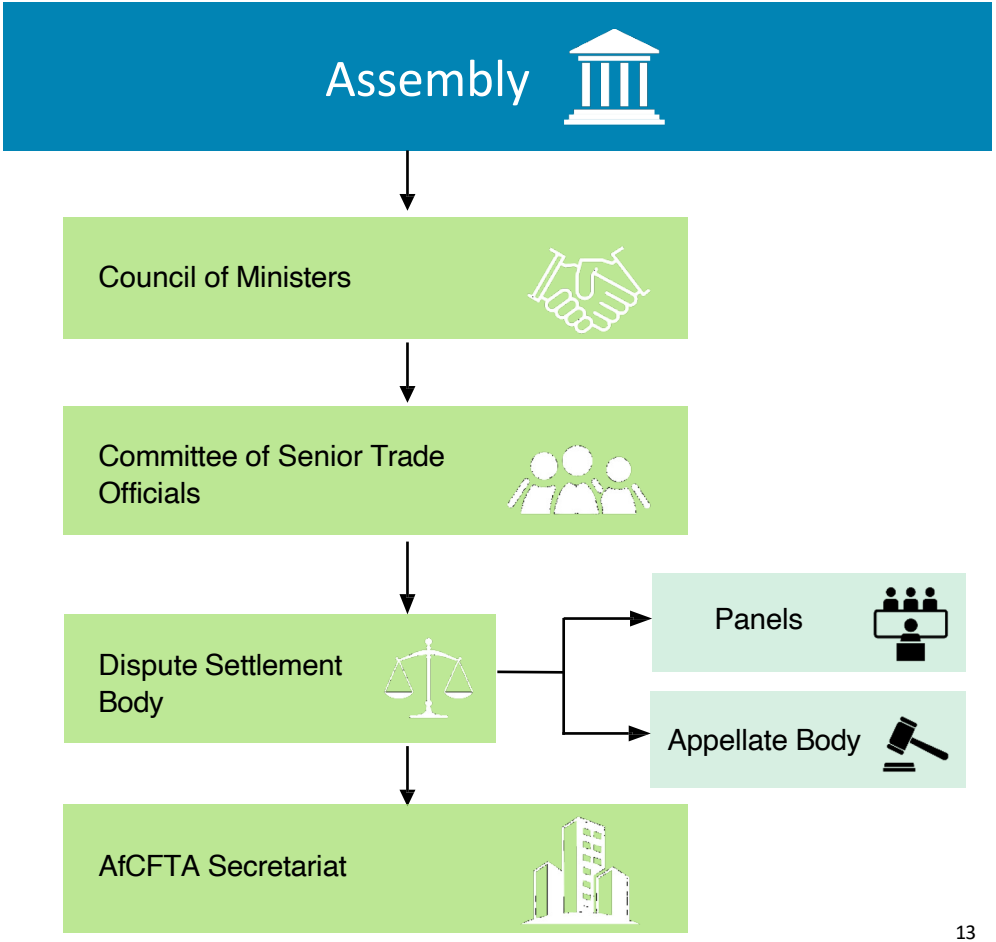
- The **Assembly** of Heads of State and Government of the African Union (AU) provides oversight and strategic guidance on the AfCFTA, including the Action Plan for Boosting Intra-African Trade (BIAT).

- The **Council of Ministers** (CoM) consists of the Ministers for Trade (or other designated Ministers) of the State Parties. The State Parties are the AU Member States that have ratified the AfCFTA Agreement or have acceded to it, and for whom this Agreement is in force. The CoM has authority to take all decisions as provided for in Article 11 of the AfCFTA Agreement. This includes the responsibility to ensure the effective implementation and enforcement of the AfCFTA Agreement. It also supervises the work of all committees and bodies established under the Agreement, considers reports of the Secretariat, makes regulations, issues directives, and makes recommendations. The CoM meets twice a year in ordinary session and may meet as and when necessary, in extraordinary sessions.

- **The Committee of Senior Trade Officials** consists of Permanent or Principal Secretaries of the State Parties, or of other officials designated by them. It must implement the decisions of the CoM and is responsible for the development of programmes and action plans for the implementation of the AfCFTA Agreement. It may direct the Secretariat to undertake specific assignments. The Regional Economic Communities (RECs) are not parties to the AfCFTA Agreement but shall be represented in the Committee of Senior Trade Officials in an advisory capacity

- **The AfCFTA Secretariat** is the only permanent institution of the AfCFTA and is based in Accra, Ghana. It must implement instructions of the CoM and must provide technical assistance to the State Parties and AfCFTA institutions, as provided in the AfCFTA Agreement. The AfCFTA Agreement does not establish a new international legal person but does say the Secretariat "*shall be a functionally autonomous institutional body within the African Union system with an independent legal personality*".

- **The Dispute Settlement Mechanism** of the AfCFTA replicates, with the necessary adaptations, the WTO dispute settlement system. The relevant principles and procedures appear in a dedicated Protocol. The Dispute Settlement Mechanism has its own institutions, such as the Appellate Body and the Panels. Only State Parties may bring disputes against other State Parties. Natural or legal persons has no standing to bring applications for the settlement of AfCFTA related disputes.


Assembly
Council of Ministers
Committee of Senior Trade Officials
Dispute Settlement Body
Panels
Appellate Body
AfCFTA Secretariat

AfCFTA Committees

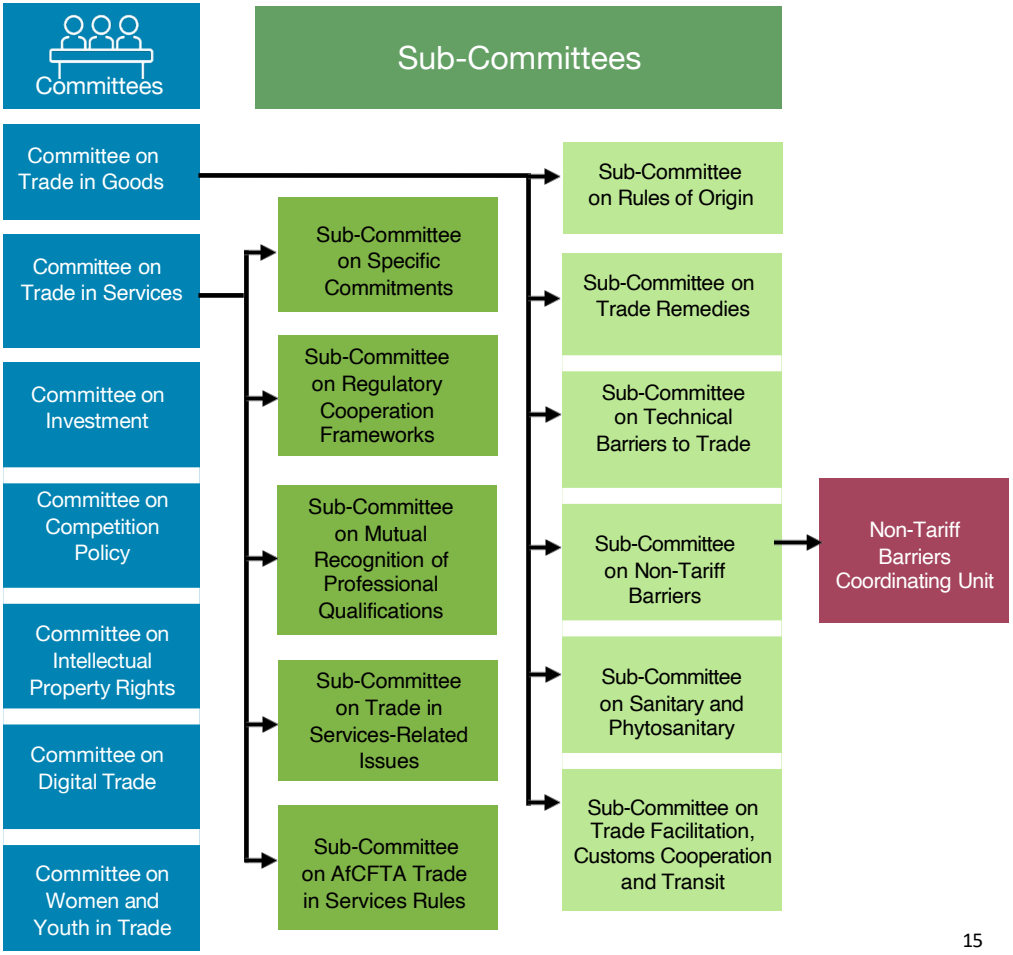
The Protocols and Annexes to the Protocols to the AfCFTA Agreement establish various technical committees to assist with the implementation of the Agreement. The committees will comprise designated representatives from State Parties.

The Committee on Trade in Goods will facilitate the operation of the Protocol on Trade in Goods. The Committee has established Sub-Committees responsible for the operationalisation of the annexes of the Protocol on Trade in Goods.

The Committee on Trade in Services will facilitate the operation of the Protocol on Trade in Services. The Committee has established Sub-Committees responsible for the operationalisation of specific areas of the Protocol on Trade in Services.

During its 5th Meeting held on 3 May 2021, the AfCFTA Council of Ministers established the following: Committees on Investment, Competition Policy, Intellectual Property Rights, Digital Trade, and Women and Youth in Trade to facilitate the negotiations in these areas and assist with the implementation of the respective Protocols

Note: The Assembly (February 2024) established the AfCFTA Sub-Committee of Heads of State and Government to monitor the implementation and address matters related to the AfCFTA, in accordance with Articles 9, 10, 11, 12, and 13 of the Agreement Establishing
the AfCFTA.


Committees
Sub-Committees
Committee on Trade in Goods
Committee on Trade in Services
Committee on Investment
Committee on Competition Policy
Committee on Intellectual Property Rights
Committee on Digital Trade
Committee on Women and Youth in Trade
Sub-Committee on Specific Commitments
Sub-Committee on Regulatory Cooperation Frameworks
Sub-Committee on Mutual Recognition of Professional Qualifications
Sub-Committee on Trade in Services-Related Issues
Sub-Committee on AfCFTA Trade in Services Rules
Sub-Committee on Rules of Origin
Sub-Committee on Trade Remedies
Sub-Committee on Technical Barriers to Trade
Sub-Committee on Non-Tariff Barriers
Sub-Committee on Sanitary and Phytosanitary
Sub-Committee on Trade Facilitation, Customs Cooperation and Transit
Non-Tariff Barriers Coordinating Unit

Guided Trade Initiative

At the 9th Meeting of the Council of Ministers (25-26 July 2022), H.E. Wamkele Mene, AfCFTA Secretary General, presented the AfCFTA Secretariat's proposed Guided Trade Initiative. The initiative was launched in Accra, Ghana on 7 October 2022, with 7 participating State Parties: Ghana, Kenya, Rwanda, Tanzania, Mauritius, Egypt and Cameroon. By 2024, 39 State Parties were participating in the GTI, and at the beginning of 2025, just over 3 000 AfCFTA certificates of origin had been issued by the participating State Party Revenue Authorities.

The conclusion of the GTI was confirmed at the 16th Council of Ministers Meeting (April 2025). The GTI has met its objectives and affirmed the effective application of AfCFTA legal instruments for trade in goods. The experience has also highlighted the need for accessible and affordable trade finance solutions, and the importance of reducing transport and logistics costs, facilitating trade and eliminating non-tariff barriers.

The emphasis is now on completing the tariff and rules of origin negotiations, noting that the tariff phase-down for Category B goods is scheduled to start on 1 January 2026.

Implementing the Protocol on Women and Youth in Trade

To support the implementation of the Protocol on Women and Youth in Trade, the Secretariat constituted a working group of Directorates to review and to prepare a revised draft of the Draft Ministerial Regulation (providing for preferential market access for goods traded by women and youth) to ensure alignment with the overall AfCFTA legal compact, specifically relevant provisions of the Agreement and consistency with Council of Ministers Directives. The threshold for eligible consignments has proven to be a contentious issue.

At the forthcoming 10th Committee Meeting on Women and Youth in Trade, the revised draft will be reviewed with a view to finalising the Ministerial Regulation.

Lessons from the Simplified Trade Regimes (STR) of some of the Regional Economic Communities (RECs), including COMESA, EAC and SADC (not yet operational) are important. Key issues, such as the threshold and the list of eligible products, must be agreed. Bilateral agreements have then been concluded between the two countries on either side of a specific border post (for example, Mchinji border post: Malawi – Zambia, and Chirundu: Zimbabwe – Zambia) for effective implementation of the STR.

Other AfCFTA initiatives

• **African Trade Observatory (ATO)**: is a continent-wide trade information portal to facilitate intra-African trade and to support the roll-out of the AfCFTA. The ATO collects trade-related data from member states to provide trade intelligence to both market players and governmental and non-governmental agencies. The ATO includes services trade, exchange rate and competitiveness indicators, internal tax data, and foreign direct investment data.

• The **AfCFTA Online Mechanism for Reporting, Monitoring and Elimination of NTBs** provides a facility for online reporting of identified non-tariff barriers (NTBs), including for reporting via a mobile App. Reported NTBs and the status of their resolution can be accessed on the public domain. NTB notifications will be received by the focal points of the reporting country, the responding country, and the AfCFTA Secretariat for processing. In a non-public space, the system then allows information exchange between the concerned State Parties to monitor and resolve NTBs.

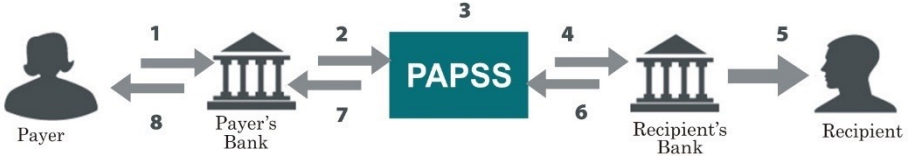
THE AFRICAN CONTINENTAL FREE TRADE AREA
Creating One African Market

NON-TARIFF BARRIERS
Reporting, Monitoring and Eliminating Mechanism

Pan-African Payment and Settlement System (PAPSS)

PAPSS, developed by the African Export Import Bank (Afreximbank) in collaboration with the African Union and AfCFTA Secretariat, is a cross-border financial market infrastructure for enabling payment transactions across Africa. PAPSS allows for payment and settlements using local currencies.

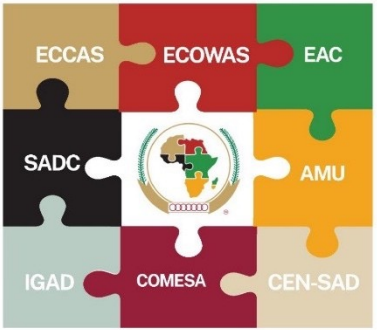
How does PAPSS work?



1. Payer sends payment instruction in local currency to their bank or payment service provider
2. Payer's bank sends a message to PAPSS with all the payment details
3. PAPSS validates the payment
4. Payment instruction is sent to the Recipient's bank to validate the details of the recipient account
5. The payment instruction is forwarded to the beneficiary's bank or payment service provider
6. PAPSS changes the status of the transaction to final
7. The Payer's bank is notified of the outcome of the transaction
8. The Payer is notified of the outcome

Regional Economic Communities & the AfCFTA

Article 19(2) of the AfCFTA Agreement states: "State Parties that are members of other regional economic communities, regional trading arrangements and custom unions, which have attained among themselves higher levels of regional integration than under this Agreement, shall maintain such higher levels among themselves."

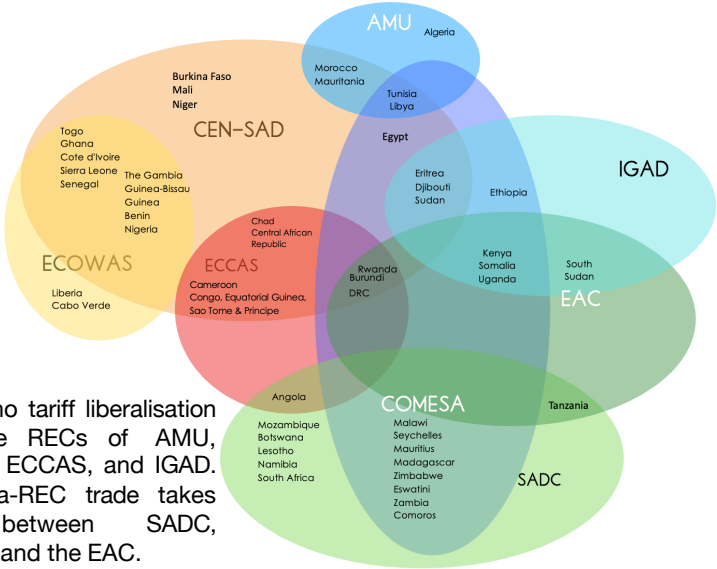


Source: African Union

This means that the recognised RECs, as well as other trading arrangements such as the Southern African Customs Union (SACU) and the Tripartite Free Trade Area (TFTA), *shall be maintained*. (See also Art 8(2) of the AfCFTA Protocol.)

Given that the RECs will remain in place and implement their own regional agendas, **trade among members of an existing REC trading arrangement (FTA or customs union) will continue according to this trade regime**.

Regional Economic Communities



There is no tariff liberalisation under the RECs of AMU, CENSAD, ECCAS, and IGAD. Most intra-REC trade takes place between SADC, COMESA and the EAC.

A key feature of RECs is overlapping membership. In many cases, countries and companies are free to decide which provisions to apply.

Several African countries also have bilateral trade and investment agreements between them.

Updates

EAC has gained two new members: Democratic Republic of Congo (DRC) and Somalia acceded to the EAC in 2022, and 2023, respectively.

Burkina Faso, Mali and Niger withdrew from ECOWAS on 25 January 2025

AfCFTA: a framework for Africa's industrialisation

The AfCFTA has been adopted as a framework for Africa's industrialisation with a strong focus on regional value chain development. Under the AfCFTA Secretariat's Private Sector Engagement Strategy, four priority value-chains have been identified for development:

1. Agro-processing
2. Pharmaceuticals
3. Transport and logistics
4. Automotives

The AfCFTA Secretariat has partnered with the African Export-Import Bank (Afreximbank) to establish the **Automotive Fund.** Afreximbank has committed a US$1 billion facility available to any investment that seeks to pursue local content development in the automotive value chain. The funding will also be used for ensuring access to consumer finance as part of the creation of demand and associated insurance products.

Afreximbank has also established the **Fund for Export Development** in Africa (FEDA) to support intra-African trade growth, value-added export development, and industrialisation. FEDA was created to address the US$110 billion equity financing gap on the continent.

Value chain opportunities for African and global investors

African countries have so far specialised as resource exporters, with some mostly internally-focused (import replacing) industrialisation.

Africa has, however, been experiencing premature deindustrialisation since the 1990s.

One of the 4 main objectives of the African Continental Free Trade Area (AfCFTA) is to promote industrial development in Africa, with the others relating to trade, integration and competitiveness.

For the AfCFTA to be a facilitator of trade-driven industrialisation, it has to meaningfully impact tariff and non-tariff barriers and therefore improve intra-African market access. However, logistics and border challenges must also be solved (practical issues).

Value-chain driven industrialisation is a special case of trade-driven industrialisation where the production chain is fragmented across several countries, permitting specialisation and the development of country and regional competencies and competitiveness in designated industrial sectors.

There are opportunities to participate in continental value chains for African and global investors. Once a global investor establishes a commercial presence in one of the AfCFTA State Parties, it has access to trade opportunities under the AfCFTA. This makes the AfCFTA a very important vehicle to attract foreign direct investment from outside the continent. This is part of the explanation for the global interest in the AfCFTA.

About tralac

tralac (Trade Law Centre) is a public benefit organisation based in South Africa. We develop technical expertise and capacity in trade governance across Africa.

We are committed to the principles of rules-based governance at the national, regional and international levels. We believe that better governance and strong institutions are essential elements for inclusive and sustainable growth. tralac's activities are anchored on three pillars.

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